Endowment Management Principles and Practices

by Seth Alexander

When I started my investment career 27 years ago, I viewed *Security Analysis* as better suited for financial historians than modern-day investors. The book seemed quaint, belonging to a simpler and very much bygone era of finance. What could a modern-day investor learn from reading descriptions of investments in railroad bonds and companies trading for less than the value of the tangible assets on their balance sheet?

Today, I have a very different perspective. By looking at principles and insights as opposed to investment ideas from nearly a century ago, the lessons of Graham and Dodd spring to life. While many people only associate Graham and Dodd with outdated investment examples, it is more accurate to characterize these examples as expressions of their investment philosophy using the opportunity set at that time, not the inevitable output of their thinking. Like the investment manager who told me he used a photograph of Warren Buffett's office to position his desk in the same orientation to the window, I had definitely been missing the point.

I write from the perspective of an endowment investor. I am part of the team that helps invest MIT's financial assets. Like many American universities, MIT has an endowment, a pool of capital built from donations that has been set aside to pay for things such as